

In-Class Lecture 12. Multivariate Analysis

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Overview

- 1 Multivariate Normal Distribution
- 2 Estimation of the Mean and Covariance Matrix
- 3 Hypothesis Testing

Multivariate Normal

The p -dimensional random variable $\mathbf{X}$ with p components $(X_1, X_2, \dots, X_p)$ with distribution $N(\boldsymbol{\mu}, \boldsymbol{\Sigma}^2)$ has the following probability density function:

$$f(\mathbf{x}) = \frac{1}{(2\pi)^{\frac{p}{2}} |\boldsymbol{\Sigma}|^{\frac{1}{2}}} e^{-\frac{1}{2}(\mathbf{x}-\boldsymbol{\mu})' \boldsymbol{\Sigma}^{-1}(\mathbf{x}-\boldsymbol{\mu})}$$

Property 1

Let $\mathbf{X} \sim N_p(\boldsymbol{\mu}, \boldsymbol{\Sigma})$, then each component X_t for $i = 1, \dots, p$ has a univariate normal distribution $X_i \sim N(\mu_i, \sigma_{ii})$.

Property 2

Let $\mathbf{X} \sim N_p(\boldsymbol{\mu}, \boldsymbol{\Sigma})$, then any distinct subset of the components (say k) has a k -dimensional multivariate normal distribution.

Example. The following is a 5-dimensional multivariate normal distribution:

$$\begin{pmatrix} X_1 \\ X_2 \\ X_3 \\ X_4 \\ X_5 \end{pmatrix} \sim N_5 \left(\begin{pmatrix} \mu_1 \\ \mu_2 \\ \mu_3 \\ \mu_4 \\ \mu_5 \end{pmatrix}, \begin{pmatrix} \sigma_{11} & \sigma_{12} & \sigma_{13} & \sigma_{14} & \sigma_{15} \\ \sigma_{21} & \sigma_{22} & \sigma_{23} & \sigma_{24} & \sigma_{25} \\ \sigma_{31} & \sigma_{32} & \sigma_{33} & \sigma_{34} & \sigma_{35} \\ \sigma_{41} & \sigma_{42} & \sigma_{43} & \sigma_{44} & \sigma_{45} \\ \sigma_{51} & \sigma_{52} & \sigma_{53} & \sigma_{54} & \sigma_{55} \end{pmatrix} \right)$$

Then, the following subset is a 3-dimensional MVN distribution:

$$\begin{pmatrix} X_4 \\ X_1 \\ X_5 \end{pmatrix} \sim N_3 \left(\begin{pmatrix} \mu_4 \\ \mu_1 \\ \mu_5 \end{pmatrix}, \begin{pmatrix} \sigma_{44} & \sigma_{41} & \sigma_{45} \\ \sigma_{14} & \sigma_{11} & \sigma_{15} \\ \sigma_{54} & \sigma_{51} & \sigma_{55} \end{pmatrix} \right)$$

Property 3

Recall the univariate normal property: if $X \sim N(\mu, \sigma^2)$, then cX , where c is some constant, is distributed $N(c\mu, c^2\sigma^2)$.

Let $\mathbf{X} \sim N_p(\boldsymbol{\mu}, \boldsymbol{\Sigma})$, and let $\mathbf{c}' = (c_1, c_2, \dots, c_p)$ be a fixed vector of constants, then

$$\mathbf{c}'\mathbf{X} \sim N_p(\mathbf{c}'\boldsymbol{\mu}, \mathbf{c}'\boldsymbol{\Sigma}\mathbf{c}).$$

Property 4

Let $\mathbf{X} \sim N_p(\boldsymbol{\mu}, \boldsymbol{\Sigma})$, and let $\mathbf{A}$ be a $k \times p$ matrix of fixed constants where $k \leq p$, then

$$\mathbf{AX} \sim N_k(\mathbf{A}\boldsymbol{\mu}, \mathbf{A}\boldsymbol{\Sigma}\mathbf{A}').$$

Property 5

Let $\mathbf{X} \sim N_p(\boldsymbol{\mu}, \boldsymbol{\Sigma})$, then

$$(\mathbf{X} - \boldsymbol{\mu})' \boldsymbol{\Sigma}^{-1} (\mathbf{X} - \boldsymbol{\mu}) \sim \chi_p^2.$$

Property 6

Let $\mathbf{X} \sim N_p(\boldsymbol{\mu}, \boldsymbol{\Sigma})$, where we partition $\mathbf{X}$ as

$$\mathbf{X} = \begin{pmatrix} \mathbf{X}_1 \\ \mathbf{X}_2 \end{pmatrix}$$

where $\mathbf{X}_1$ is $k \times 1$ and $\mathbf{X}_2$ is $(p - k) \times 1$, and write

$$\begin{pmatrix} \mathbf{X}_1 \\ \mathbf{X}_2 \end{pmatrix} \sim N_p \left(\begin{pmatrix} \boldsymbol{\mu}_1 \\ \boldsymbol{\mu}_2 \end{pmatrix}, \begin{pmatrix} \boldsymbol{\Sigma}_{11} & \boldsymbol{\Sigma}_{12} \\ \boldsymbol{\Sigma}_{21} & \boldsymbol{\Sigma}_{22} \end{pmatrix} \right)$$

where $\boldsymbol{\Sigma}_{12}$ is $k \times (p - k)$.

Property 6

Then the conditional distribution of $\mathbf{X}_1$ given $\mathbf{X}_2 = \mathbf{x}_2$, written as $(\mathbf{X}_1 | \mathbf{X}_2 = \mathbf{x}_2)$, is given by:

$$(\mathbf{X}_1 | \mathbf{X}_2 = \mathbf{x}_2) \sim N_k(\mu_{1|2}(\mathbf{x}_2), \Sigma_{1|2})$$

$$\mu_{1|2}(\mathbf{x}_2) = \mu_1 + \Sigma_{12}\Sigma_{22}^{-1}(\mathbf{x}_2 - \mu_2)$$

$$\Sigma_{1|2} = \Sigma_{11} - \Sigma_{12}\Sigma_{22}^{-1}\Sigma_{21}$$

Property 6 Example

Let's look at the bivariate normal example.

$$\mathbf{X} = \begin{pmatrix} X_1 \\ X_2 \end{pmatrix}, \text{Cov}(\mathbf{X}) = \begin{pmatrix} \sigma_{11} & \sigma_{12} \\ \sigma_{21} & \sigma_{22} \end{pmatrix}$$

$$E(X_1|X_2 = x_2) = \mu_1 + \frac{\sigma_{12}}{\sigma_{22}} (x_2 - \mu_2)$$

$$\text{Var}(X_1|X_2 = x_2) = \sigma_{11} - \frac{\sigma_{12}^2}{\sigma_{22}}$$

If there are covariances between X_1 and X_2 , then the conditional variance is *less*.

Example 2

Data taken from the NLSY.

Three test scores:

- 1 X_1 =AFQT Percentile Score
- 2 X_2 =SAT Math Score
- 3 X_3 =SAT Verbal Score

And it looks like this:

$$\begin{pmatrix} X_1 \\ X_2 \\ X_3 \end{pmatrix} \sim N_3 \left(\begin{pmatrix} 67 \\ 448 \\ 409 \end{pmatrix}, \begin{pmatrix} 652 & 2485 & 2418 \\ 2485 & 14755 & 11031 \\ 2418 & 11031 & 14666 \end{pmatrix} \right)$$

Example 2

By Property 2, we can partition these matrices:

$$\begin{pmatrix} X_2 \\ X_3 \end{pmatrix} \sim N_2 \left(\begin{pmatrix} 448 \\ 409 \end{pmatrix}, \begin{pmatrix} 14755 & 11031 \\ 11031 & 14666 \end{pmatrix} \right)$$

Now, we can calculate the correlation:

$$\text{Corr}(X_2, X_3) = \frac{\sigma_{23}}{\sqrt{(\sigma_{22})(\sigma_{33})}} = \frac{11031}{\sqrt{(14755)(14666)}} \approx 0.7499$$

Example 2

Now, let's look at an example conditional mean and conditional variance.

$$\left(\begin{pmatrix} X_2 \\ X_3 \end{pmatrix} \mid X_1 = 30 \right) = \left(\begin{pmatrix} SATMath \\ SATVerbal \end{pmatrix} \mid AFQT = 30 \right)$$

We want to know $E(X_2 \mid X_1 = 30)$. Recall that $\mu_{2|1} = \mu_2 + \frac{\sigma_{12}}{\sigma_{11}}(x_1 - \mu_1)$. In this case, we have:

$$448 + \frac{2485}{652}(30 - 67) = 308.$$

Example 2

Recall the formula for conditional variance: $\sigma_{2|1} = \sigma_{22} - \frac{\sigma_{12} \cdot \sigma_{21}}{\sigma_{11}}$. In this case, we have

$$\sigma_{2|1} = 14755 - \frac{2485 \cdot 2485}{652} = 5277$$

See R script for conditional covariance calculation.

Example 2

R code.

Matrix calculations are a function in base R.

Example 2

It is interesting to note that:

$$\text{Corr}(\text{SATMath}, \text{SATVerbal} | \text{AFQT}) = \frac{1809}{\sqrt{(5277)(5693)}} \approx 0.3300$$

Again, this is true independent of the specific value taken on by AFQT (X_1).

In-Class Exercise

Continuing with Example 2, calculate the following quantities:

$$E(X_3|X_1 = 30).$$

$$\sigma_{3|1}.$$

In-Class Exercise

Continuing with Example 2, calculate the following quantities:

$$E(X_3|X_1 = 30) = 409 + \frac{2418}{652}(30 - 67) = 271.8$$

$$\sigma_{3|1} = 14666 - \frac{2418^2}{652} = 5698.6.$$

Estimation and Inference

Assume $X_1, X_2, \dots, X_n$ are normal random variables from $N_p(\mu, \Sigma)$. Then the sample mean vector and sample covariance matrix are:

$$\bar{\mathbf{X}} = n^{-1} \sum_{i=1}^n \mathbf{X}_i$$

$$\mathbf{S} = (n-1)^{-1} \sum_{i=1}^n (\mathbf{X}_i - \bar{\mathbf{X}})(\mathbf{X}_i - \bar{\mathbf{X}})'$$

This looks like the univariate results. These are unbiased estimators of population values (i.e. $E[\bar{\mathbf{X}}] = \mu$).

Result 1

Let $X_1, X_2, \dots, X_n$ be a random sample from a $N_p(\boldsymbol{\mu}, \boldsymbol{\Sigma})$ distribution. Then the following will hold:

- 1 $\bar{\mathbf{X}}$ is distributed as $N_p(\boldsymbol{\mu}, n^{-1}\boldsymbol{\Sigma})$.
- 2 $(n-1)\mathbf{S}$ is distributed as a Wishart random matrix with parameter $\boldsymbol{\Sigma}$ and degrees of freedom $n-1$.
- 3 $\bar{\mathbf{X}}$ and $\mathbf{S}$ are independent.

Also note that $\hat{V}(\bar{\mathbf{X}}) = n^{-1}\mathbf{S}$.

Result 2

Let $X_1, X_2, \dots, X_n$ be a random sample from a $N_p(\mu, \Sigma)$ distribution, and assume that Σ is known and we want to test the hypothesis $H_0: \mu = \mu_0$.

Then the best test rejects H_0 at the α level when

$$(\bar{\mathbf{X}} - \mu_0)' \left(\frac{1}{n} \Sigma \right)^{-1} (\bar{\mathbf{X}} - \mu_0) \geq \chi_{p, \alpha}^2$$

We can use this fact to create confidence ellipsoids.

Example 3

Returning to the SAT Math and Verbal scores. From the 917 cases in NLSY, we estimate:

$$\bar{\mathbf{x}} = \begin{pmatrix} 448 \\ 409 \end{pmatrix}$$

$$\mathbf{s} = \begin{pmatrix} 14755 & 11031 \\ 11031 & 14666 \end{pmatrix}$$

Example 3

$$n^{-1}\mathbf{s} = \begin{pmatrix} 16.0905 & 12.0294 \\ 12.0294 & 15.9935 \end{pmatrix}$$

We want to test the hypothesis:

$$H_0 : \begin{pmatrix} \mu_{Math} \\ \mu_{Verbal} \end{pmatrix} = \begin{pmatrix} 450 \\ 400 \end{pmatrix} \text{ versus}$$

$$H_A : \begin{pmatrix} \mu_{Math} \\ \mu_{Verbal} \end{pmatrix} \neq \begin{pmatrix} 450 \\ 400 \end{pmatrix}.$$

Example 3

$$\left(\begin{pmatrix} 448 \\ 409 \end{pmatrix} - \begin{pmatrix} 450 \\ 400 \end{pmatrix} \right)' \begin{pmatrix} 16.091 & 12.029 \\ 12.029 & 15.994 \end{pmatrix}^{-1} \left(\begin{pmatrix} 448 \\ 409 \end{pmatrix} - \begin{pmatrix} 450 \\ 400 \end{pmatrix} \right) = ?$$

Solve for the unknown value, which has a χ^2 distribution.

Example 3

$$\left(\begin{pmatrix} 448 \\ 409 \end{pmatrix} - \begin{pmatrix} 450 \\ 400 \end{pmatrix} \right)' \begin{pmatrix} 16.091 & 12.029 \\ 12.029 & 15.994 \end{pmatrix}^{-1} \left(\begin{pmatrix} 448 \\ 409 \end{pmatrix} - \begin{pmatrix} 450 \\ 400 \end{pmatrix} \right) = 15.98$$

Now check the χ^2 distribution. We see that $\chi^2_{2,0.05} = 5.99$. Our value is much greater than that, so we reject H_0 .

Example 3

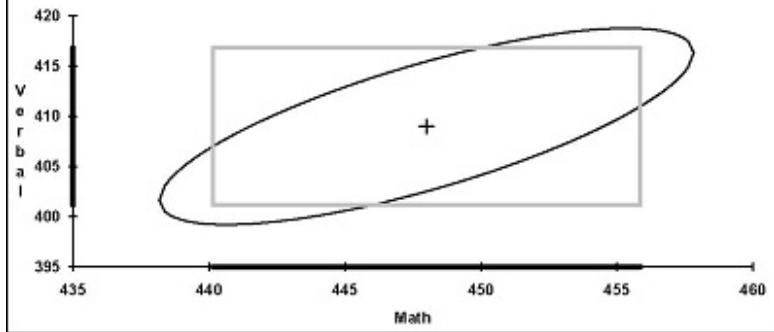
Now let's invert that procedure. We have a χ^2 value and want to see which μ_0 values are implied by this value.

$$\left(\begin{pmatrix} 448 \\ 409 \end{pmatrix} - \begin{pmatrix} \mu_{Math} \\ \mu_{Verbal} \end{pmatrix} \right)' \begin{pmatrix} 16.0905 & 12.0294 \\ 12.0294 & 15.9935 \end{pmatrix}^{-1} \left(\begin{pmatrix} 448 \\ 409 \end{pmatrix} - \begin{pmatrix} \mu_{Math} \\ \mu_{Verbal} \end{pmatrix} \right) = 5.99$$

Now, solve for the missing μ_0 values. The solution creates an ellipse.

Example 3

Figure 1
Confidence Regions for SAT Scores



Problem

Recall the univariate situation. When we replaced a known variance in the denominator of the Z statistic with a sample estimate, we had a random variable with a t -distribution.

The same thing happens when looking at the multivariate situation. When we use the sample estimate of a covariance matrix, then the earlier test is inappropriate (result 2).

Result 3

Let $X_1, X_2, \dots, X_n$ be a random sample from a $N_p(\mu, \Sigma)$ distribution, and assume that μ and Σ are both unknown and we want to test the hypothesis $H_0: \mu = \mu_0$.

Hotelling's T^2 Statistic:

$$T^2 = (\bar{\mathbf{X}} - \mu_0)' \left(\frac{1}{n} \mathbf{S} \right)^{-1} (\bar{\mathbf{X}} - \mu_0)$$

Then reject H_0 when:

$$T^2 > \frac{(n-1)p}{(n-p)} F_{n-p}^p(\alpha)$$

Example 4

Recall our hypothesis:

$$H_0 : \begin{pmatrix} \mu_{Math} \\ \mu_{Verbal} \end{pmatrix} = \begin{pmatrix} 450 \\ 400 \end{pmatrix} \text{ versus}$$

$$H_A : \begin{pmatrix} \mu_{Math} \\ \mu_{Verbal} \end{pmatrix} \neq \begin{pmatrix} 450 \\ 400 \end{pmatrix}.$$

Example 4

Calculate Hotelling's T^2 :

$$T^2 = (\bar{\mathbf{X}} - \boldsymbol{\mu}_0)' \left(\frac{1}{n} \mathbf{S} \right)^{-1} (\bar{\mathbf{X}} - \boldsymbol{\mu}_0)$$

$$T^2 = (917) \left(\begin{pmatrix} 448 \\ 409 \end{pmatrix} - \begin{pmatrix} 450 \\ 400 \end{pmatrix} \right)' \begin{pmatrix} 14755 & 11031 \\ 11031 & 14666 \end{pmatrix}^{-1} \left(\begin{pmatrix} 448 \\ 409 \end{pmatrix} - \begin{pmatrix} 450 \\ 400 \end{pmatrix} \right) = 15.98$$

Now compare that to the appropriate value from the reference distribution:

$$\frac{(n-1)p}{(n-p)} F_{n-p}^p(0.05) = \frac{(916)2}{915} (3.00) = 6.01$$

$15.98 > 6.01$. Therefore, reject H_0 .

Convergence

Now, you might be thinking that it looks a lot like the prior example.

This is because there is an asymptotic convergence: $\frac{(n-1)p}{(n-p)} F_{n-p}^p \rightarrow \chi_p^2$ as $n \rightarrow \infty$.

Alternative Motivation

First, if we multiply our multivariate normal by a vector of constants, we have:

$$\mathbf{c}'\bar{\mathbf{X}} = \sum_{i=1}^p c_i \bar{X}_i.$$

From the properties of expected value and variance we know:

$$E\{\mathbf{c}'\bar{\mathbf{X}}\} = \mathbf{c}'\boldsymbol{\mu}$$

$$\hat{V}\{\mathbf{c}'\bar{\mathbf{X}}\} = n^{-1}\mathbf{c}'\mathbf{S}\mathbf{c}$$

Alternative Motivation

Now form the univariate t -statistic:

$$t_c = \frac{\mathbf{c}'(\bar{\mathbf{X}} - \boldsymbol{\mu})}{\sqrt{n^{-1} \mathbf{c}' \mathbf{S} \mathbf{c}}}$$

Square both sides of the equation:

$$t_c^2 = \frac{\mathbf{c}'(\bar{\mathbf{X}} - \boldsymbol{\mu})'(\bar{\mathbf{X}} - \boldsymbol{\mu})\mathbf{c}}{n^{-1} \mathbf{c}' \mathbf{S} \mathbf{c}}$$

Then it can be shown that:

$$\max_{\mathbf{c} \in \mathbb{R}^p} (t_c^2) = T^2 = n(\bar{\mathbf{X}} - \boldsymbol{\mu})' \mathbf{S}^{-1} (\bar{\mathbf{X}} - \boldsymbol{\mu})$$

In words, the Hotelling T^2 is the largest squared univariate t -statistic that can be constructed from the data.

Result 4

Let $X_1, X_2, \dots, X_n$ be a random sample from a $N_p(\mu, \Sigma)$ distribution, and assume that μ and Σ are both unknown, and let $\mathbf{c}$ be any p -dimensional column vector. Then simultaneously for all values of $\mathbf{c}$ in $\mathbb{R}^p$, the confidence interval:

$$\left[\mathbf{c}'\bar{\mathbf{X}} - \sqrt{\frac{(n-1)p}{(n-p)} F_{n-p}^p(\alpha)} \sqrt{n^{-1} \mathbf{c}' \mathbf{S} \mathbf{c}}, \mathbf{c}'\bar{\mathbf{X}} + \sqrt{\frac{(n-1)p}{(n-p)} F_{n-p}^p(\alpha)} \sqrt{n^{-1} \mathbf{c}' \mathbf{S} \mathbf{c}} \right]$$

will contain $\mathbf{c}'\mu$ with probability $1 - \alpha$. These are called simultaneous T^2 confidence intervals.

Example 5

Back to the same data:

$$\bar{X}_{math} = 448$$

$$\bar{X}_{verbal} = 409$$

$$\hat{V}(\bar{X}_{math}) = 16.0905$$

$$\hat{V}(\bar{X}_{verbal}) = 15.9935$$

For these data we can easily construct univariate 95% confidence intervals.

For μ_{math} the interval is [440.138, 455.862].

For μ_{verbal} the interval is [401.162, 416.838].

Example 5

But we know that these variables are related (bivariate normal). Let's estimate the simultaneous T^2 confidence intervals using:

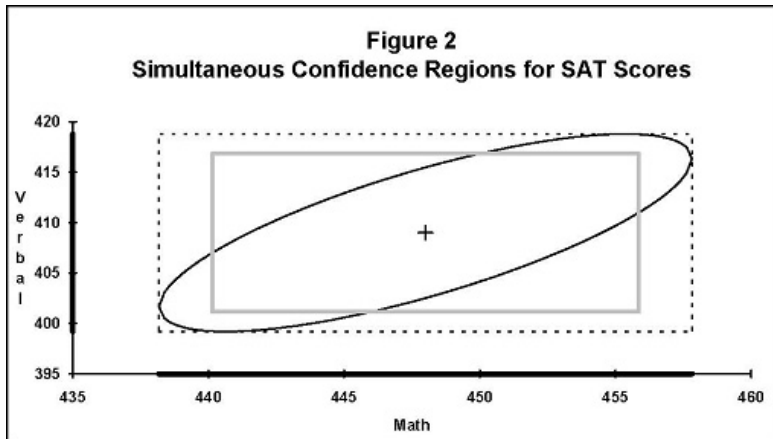
$$\left[\mathbf{c}'\bar{\mathbf{X}} - \sqrt{\frac{(n-1)p}{(n-p)} F_{n-p}^p(\alpha)} \sqrt{n^{-1} \mathbf{c}' \mathbf{S} \mathbf{c}}, \mathbf{c}'\bar{\mathbf{X}} + \sqrt{\frac{(n-1)p}{(n-1)} F_{n-p}^p(\alpha)} \sqrt{n^{-1} \mathbf{c}' \mathbf{S} \mathbf{c}} \right]$$

For μ_{math} the interval is [438.1825, 457.8174].

For μ_{verbal} the interval is [399.2122, 418.7878].

These intervals are slightly wider.

Example 5



Pooled Tests

We may want to test the difference in mean vectors ($\mu_1 - \mu_2$) between two multivariate normal distributions.

Let $X_1, X_2, \dots, X_{n_1}$ be a random sample of size n_1 drawn from a $N_p(\mu_1, \Sigma)$ distribution.

Let $Y_1, Y_2, \dots, Y_{n_2}$ be a random sample of size n_2 drawn from a $N_p(\mu_2, \Sigma)$ distribution.

NOTE: The covariance matrices are the same in the two distributions. We need this to be true for this to work!

Pooled Tests

Our hypothesis is $H_0: \mu_1 - \mu_2 = \delta$.

Recall that $\mathbf{S}_2 = (n_2 - 1) \sum_{i=1}^{n_2} (\mathbf{Y}_i - \bar{\mathbf{Y}})((\mathbf{Y}_i - \bar{\mathbf{Y}})')$.

If we can assume that $\mathbf{S}_1$ and $\mathbf{S}_2$ come from the same distribution, then we can “pool” them to increase the power of our test:

$$\mathbf{S}_{Pooled} = \frac{(n_1 - 1)\mathbf{S}_1 + (n_2 - 1)\mathbf{S}_2}{(n_1 + n_2 - 2)}$$

Pooled Tests

Now we can calculate the T^2 statistic:

$$T^2 = (\bar{\mathbf{X}} - \bar{\mathbf{Y}} - \boldsymbol{\delta})' \left[\left(\frac{1}{n_1} + \frac{1}{n_2} \right) \mathbf{S}_{Pooled} \right]^{-1} (\bar{\mathbf{X}} - \bar{\mathbf{Y}} - \boldsymbol{\delta})$$

We reject H_0 if:

$$T^2 > \frac{(n_1 + n_2 - 2)p}{(n_1 + n_2 - p - 1)} F_{n_1 + n_2 - p - 1}^p(\alpha)$$

Example 6

Back to the same data.

$X_1, X_2, \dots, X_{407}$ is a random sample of 407 men with a $N_3(\mu_1, \Sigma)$ distribution.

$Y_1, Y_2, \dots, Y_{510}$ is a random sample of 510 women with a $N_3(\mu_2, \Sigma)$ distribution.

Test the null hypothesis: $H_0: \mu_1 = \mu_2$.

Example 6

$$\bar{\mathbf{X}} = \begin{pmatrix} 72.412776 \\ 484.69287 \\ 425.40541 \end{pmatrix}$$

$$\bar{\mathbf{Y}} = \begin{pmatrix} 62.186275 \\ 418.80392 \\ 396.45098 \end{pmatrix}$$

Example 6

$$\mathbf{S}_1 = \begin{pmatrix} 570.58782 & 2331.9744 & 2298.0835 \\ 2331.9744 & 15281.125 & 11725.802 \\ 2298.0835 & 11725.802 & 15422.434 \end{pmatrix}$$

$$\mathbf{S}_2 = \begin{pmatrix} 671.18134 & 2312.8558 & 2387.185 \\ 2312.8558 & 12433.341 & 9650.1672 \\ 2387.185 & 9650.1672 & 13718.421 \end{pmatrix}$$

$$\mathbf{S}_{Pooled} = \begin{pmatrix} 626.5464 & 2321.339 & 2347.6492 \\ 2321.339 & 13696.948 & 10571.159 \\ 2347.649 & 10571.159 & 14474.518 \end{pmatrix}$$

Example 6

$$T^2 = 90.13.$$

$$\frac{(n_1+n_2-2)p}{(n_1+n_2-p-1)} F_{n_1+n_2-p-1}^p(0.05) = \frac{(915)3}{(913)} (2.61) = 7.85$$

Example 6

See R program (work from mean vectors, covariance matrices).

Just as with a two-sample t-test, we should test for equality of variances.

Example 6

In R, use the `DescTools` package.

```
library(DescTools)  
HotellingsT2Test(xscores, y = yscores)
```